

WeBox CEO's Letter of Q2, 2025

To our valued shareholders and WeBox team,

Overall, we've made significant progress in our growth and have begun exploring new opportunities aligned with our business model. Compared to our competitors, our model is proving to be robust and well-positioned to support continued expansion in a competitive market.

That said, I want to share two tough updates with the team to reinforce a sense of urgency.

First, we lost a major customer - Archer in Q1 due to an oversight on our part. Despite our CS team believing we had a strong relationship with the decision-maker, we learned a hard but valuable lesson: relationships alone won't sustain growth. What truly matters is how consistently we deliver value and happiness to our customers.

In response, we've introduced free onsite servers and are now collecting feedback more frequently. However, this is just the beginning. We need to shift our mindset and double down on consistently delivering exceptional service, especially if we want to win and retain larger clients going forward.

Second, we've started to attract attention from competitors—more and more of them are studying our business model, and one of them has even filed a lawsuit against WeBox, which we are actively responding to. **While this may seem like a challenge, we see it as validation of the value we're creating. It's a signal that we are moving in the right direction—and that others are taking notice.**

That's precisely why we need to operate with greater urgency and focus. We must continue aligning our daily work with our mission, vision, and core values, and raise the bar across the board. As our competitors improve their offerings to target our weaknesses, we must move faster, deliver better, and sharpen our execution to stay ahead.

In the past, we invested heavily in variety. While that remains important, in Q2 we're expanding our focus to include quality. Our goal is to offer customers a curated selection of partners and products—like a Costco-style experience, limited SKU with great user experience from price, quality and support. Our hubs have the capacity, so now it's about improving ROI through better productivity, faster partner onboarding, and more strategic product releases.

As I mentioned during the all-hands meeting at the beginning of the year, we are implementing two key systems to help build WeBox into a great company:

1. Positioning System

- **Recurring Business Customer Positioning:** Recurring business customers are categorized based on their revenue contribution. We tailor our services to different customer tiers—strong retention helps lower our CAC by increasing lifetime value.
- **Partner Positioning:** Partners are evaluated by their revenue contribution, operational performance, and customer feedback (reviews and ratings) to ensure consistent quality. Clear and accurate partner positioning enhances the user experience and supports smoother operations, ultimately driving better ROI.
- **Driver Positioning:** Drivers are ranked based on performance, including errors, late deliveries, and absenteeism. A performance leaderboard helps encourage accountability and excellence.
- **Team Positioning:** Our team members are placed into five categories—**Star**, **Bullring**, **Rabbit**, **Dog**, and **Wild Dog**. We strive to grow and retain top performers, but we cannot afford to keep "Dogs" and "Wild Dogs" in the organization.

2. OKRs Aligned with Positioning and Performance

We've been implementing the OKR system across the organization, starting with leadership and now expanding to the entire company. Q1 marked our first company-wide rollout, and in Q2, we're taking it a step further by aligning OKRs more closely with our **positioning system**, **mission**, **vision**, and **core values**.

Our focus will remain on achieving daily, weekly, and quarterly goals through consistent execution. As the saying goes:

"A journey of a thousand miles begins with a single step. Small streams converge to form great rivers."

Let's stay disciplined, aligned, and forward-moving.

Thank you for your continued support throughout this journey. I hope you find these updates helpful. As always, feel free to reach out at any time for a conversation.

Fred Ming

CEO, Saltalk Inc (DBA: WeBox)

Executive Summary

- **Revenue**

Q1 Total Revenue: WeBox achieved total revenue of \$4.67M. This marks a 19.28% QoQ growth from \$3.91M in Q4 2024, and represent a 112% YoY increase from \$2.2M in Q1 2024.

- **Gross Margin**

Q1 Gross Margin: The gross margin stands at 30.37%. This represents a 5.97% QoQ increase from 28.66% in Q4 2024.

- **Net Profit**

Q1 Net Profit: The net profit was -\$116K. This includes two shipping containers from China and two conferences sponsorship, totaling over \$100K.

- **Fundraising**

We’ re planning to kick off our Series B fundraising to support the expansion of over 15 hubs across the San Francisco Bay Area, Los Angeles, San Diego, Seattle and the whole west coast.

- **Fremont Kitchen**

We're planning a soft launch in late May or early June.

Highlights of Business

- **WeBox plans & pricing**

As of now, we have 38 active customers — 15 on the Basic plan and 23 on the Pro plan — since launching in December 2024. We're planning a version upgrade in Q2 to make our SaaS model even more flexible and better suited for small businesses and startups. Following the advice of Professor Zeng Ming, “Whoever wins the small companies will lead the market,” we are continuously refining our plans and pricing to position ourselves as the industry leader.

- **The progress of the San Francisco hub**

Our weekly revenue has grown from \$3K to \$27K over the past five months of hard work with 4 salespeople led by myself. This strong growth signals that our field prospecting GTM strategy is effective and positions us well to capture the market in cities like Los Angeles and New York in the future. We’ re currently developing our playbook and unit economics for scaling through our hub model. As we prepare for our Series B round, we’ d love your support to help us expand into new territories and continue growing the business.

- **The BD department was set up**

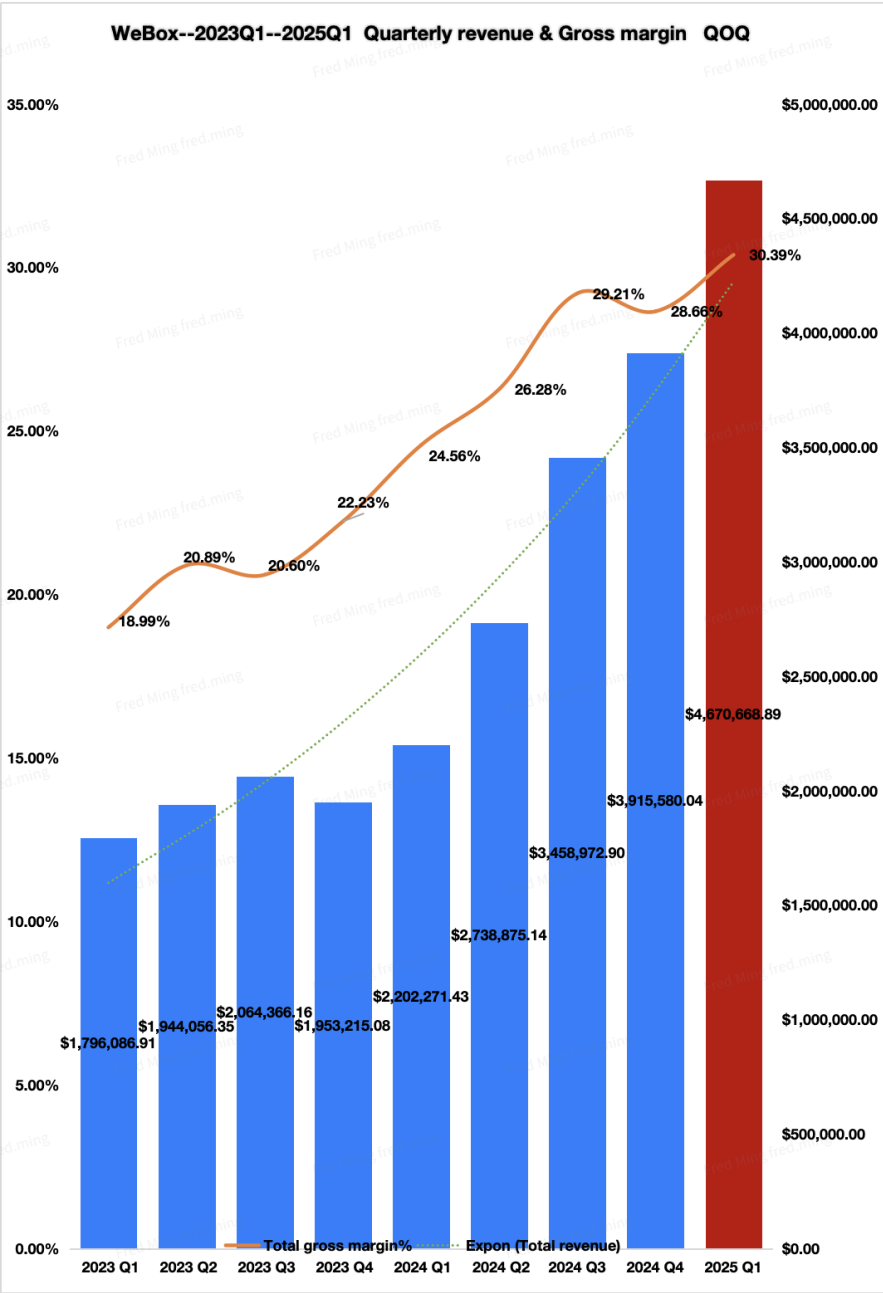
We're developing a second revenue stream by establishing a new Business Development department focused on occasional revenues (Sales department is focusing on recurring revenues) such as event-themed catering, happy hours, and breakfasts. I’ ll personally lead this team to identify product-market fit (PMF) and go-to-market (GTM) strategies over the next 2–3

quarters. The goal is to diversify our revenue, reduce risk, and maximize the ROI of our hub network by better utilizing operational time windows.

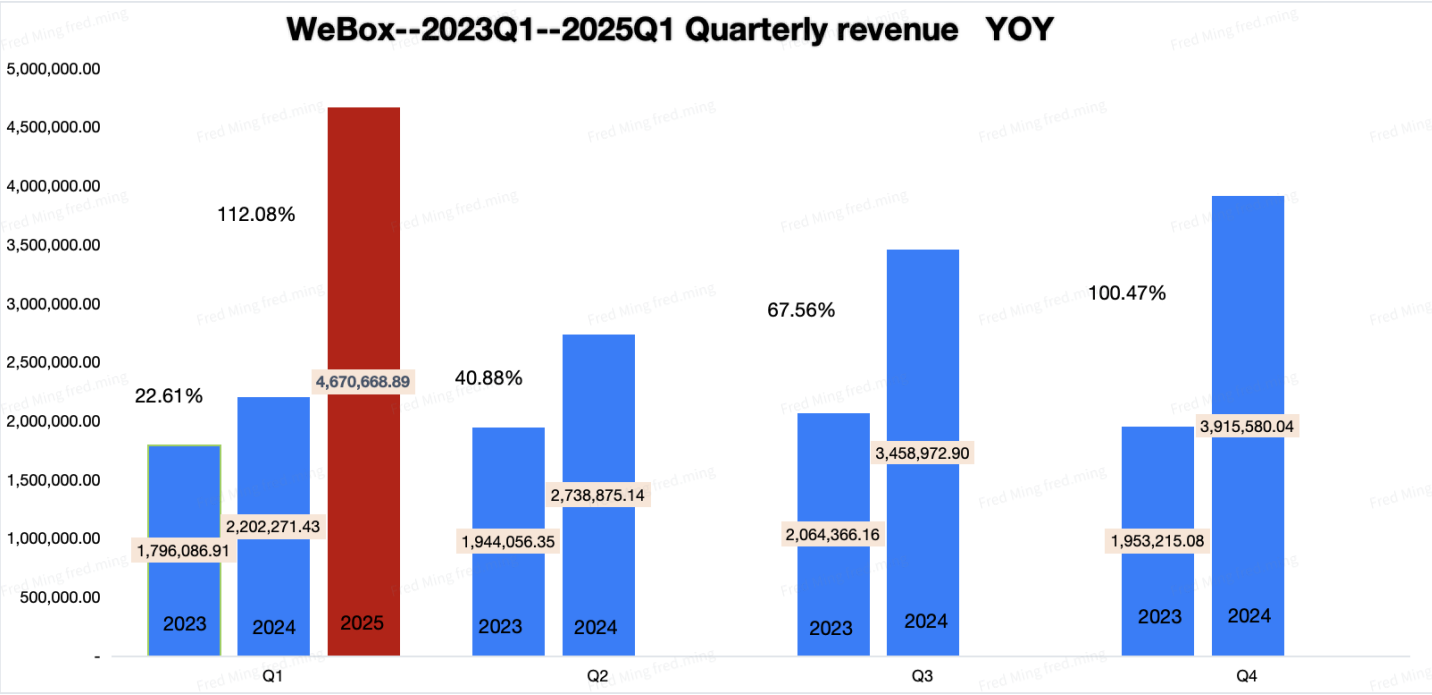
Financial Overview

Q1's Updates

- Quarterly revenue and gross margin QoQ



- Quarterly revenue YoY



• Daily revenue MoM

Date	Work Day	Revenue/ average day	Growth rate
Jan-24	22	31,458.75	
Feb-24	20	33,261.16	5.73%
Mar-24	21	36,220.06	8.90%
Apr-24	22	37,635.50	3.91%
May-24	22	43,926.57	16.72%
Jun-24	19	44,183.61	0.59%
Jul-24	22	45,061.16	1.99%
Aug-24	22	51,522.22	14.34%
Sep-24	20	60,760.22	17.93%
Oct-24	23	65,594.76	7.96%
Nov-24	19	58,618.74	-10.64%
Dec-24	17	60,019.95	2.39%
Jan-25	22	63,041.61	5.03%
Feb-25	19	68,479.18	8.63%
Mar-25	21	73,301.29	7.04%

Q2's Goals

- **Revenue**

\$5.75M (23% QoQ Growth)

- **Gross Margin**

30.5% (1% QoQ Growth)

- **Net Profit**

Reached breakeven with approximately \$20K in positive net profit

Functional Review

Sales

- **Big Deals**

GRAIL, NIO and Eugenius

The logo for GRAIL, featuring the word "GRAIL" in a bold, purple, sans-serif font. The letter "I" is stylized with vertical bars.The logo for NIO, featuring a stylized black "N" icon followed by the word "NIO" in a bold, black, sans-serif font.The logo for Eugenius, featuring the word "EUGENUS" in a blue, sans-serif font, with a red swoosh underline and a blue oval border.

Marketplace

- **WeBox Mart Revenue**

WeBox Mart's quarterly revenue has surpassed \$234K, making a 7.5% QoQ growth from \$203k in Q4 of 2024

- **Big Brands**

Dumpling Time, Urban Plates, The little Chihuahua, Frank & Furter's, Erik's Deli

The logo for Dumpling Time, featuring a cartoon dumpling character with a smiling face, wearing a red bow tie, and the text "DUMPLING TIME" and "饺子时间" below it.The logo for Urban Plates, featuring the words "URBAN PLATES" in a green, sans-serif font, enclosed in a green circular border.The logo for The Little Chihuahua, featuring a red circular border with the text "THE LITTLE CHIHUAHUA" and "MEXICAN RESTAURANT" around a central "TLC" monogram.The logo for Frank & Furter's, featuring two cartoon hot dogs with faces, wearing red hats, and the text "FRANK & FURTER'S" and "Handcrafted Hot Dogs" around them.The logo for Erik's Deli, featuring a green silhouette of a deli counter with the text "ERIK'S" and "ESTD 1973" below it.

Product & Engineering

- **WeBox Plans & Pricing**

Open last minute orders and more seats for Pro plan

• Operation 2.1

Sorting enhancement by scanning QR-Code to track progress and detect issues early

Basic

Free

Ideal for individuals and families

10% Service Fee

Sign Up

Contractless

Up to 4 orders per delivery

Free delivery over \$49.99

No tips

15 daily brands

Box meal

Group catering

Pro

\$29.99

entire team / month

First 30 days free trial

Perfect for small teams or businesses

12% Service Fee

Buy Now

Everything in Basic, plus

Up to 30 orders per delivery

Free delivery over \$99.99

Full brands

Office pantry

Automatic ordering

Last minute orders

Guest ordering link

Integration with Slack, PingID, Okta, and Rippling

Business

Flexible Pricing

Designed for large teams or companies

Talk to Sales

Everything in Pro, plus

Unlimited orders per delivery

Free delivery over \$199.99

Flexible delivery time window

Multiple office locations

WeBox rack system

Onboard training

Dedicated account manager

Consolidated payment options (Weekly, Bi-Weekly, or Monthly)

The More You Operate,
The More You Earn

9:41

Compensation

2024.09.05

2023-07-28 Lunch

Total Pay: \$5

Total Penalty: \$0

Total Allowance: \$0

Plates: 3

Packets: 8

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Tasks

Schedule

Compensation

Operations

- Signed the agreement for San Carlos new location
- Secured new locations in San Francisco, featuring 12,000 sq. ft. and 50+ parking spaces.
- Currently negotiating a new location in Mountain View and Oakland.

Legend:

- ★ The hub is operational
- ★ The virtual kitchen is operational
- ★ The hub is scheduled

Team

- 85 (United States - SF Bay Area: 30, China - Shanghai and Wuhan: 25; Philippines: 30)
Headcount has increased by 19.7%, rising from 71 employees in Q4.

Fundraising

- Series B Fundraising

We're planning to kick off our Series B fundraising to support the expansion of over 15 hubs across the San Francisco Bay Area, Los Angeles, San Diego, Seattle and the whole west coast.

Quarterly Books Recommendation

- Who moved my cheese

<https://www.amazon.com/Who-Moved-My-Cheese-Amazing/dp/0399144463>

- The one minute manager

<https://www.amazon.com/Minute-Manager-Kenneth-Blanchard-Ph-D/dp/074350917X>